

Microsoft Corporation

Full DCF Valuation Report

TICKER MSFT · INDUSTRY Software · MARKET CAP \$3.03T · 9 MARCH 2026

EXECUTIVE SUMMARY

Current Price	\$407.38
DCF Base Case (fair value)	\$187.31
Option-Adjusted Composite	\$219.71
Monte Carlo Mean (10k runs)	\$110.34
Implied Downside	-54%
Verdict	SELL

The pipeline auto-computed 3 growth options (Black-Scholes) adding \$32.40 per share, yielding a composite fair value of \$219.71. Even with optionality, MSFT trades at **1.9x** our option-adjusted value — a material gap that warrants caution.

KEY VALUATION DRIVERS

WACC COMPONENTS

COMPONENT	VALUE	SOURCE
Risk-Free Rate	4.13%	FRED 10Y
Levered Beta	1.41	Industry $\beta \times D/E$
Cost of Equity	10.09%	CAPM
After-Tax Cost of Debt	3.86%	AA+ rating
WACC	9.97%	—

REVENUE ASSUMPTIONS

PARAMETER	VALUE	RATIONALE
Year 1 Growth	16.4%	Analyst consensus
Years 2–5 CAGR	14.6%	50% consensus + 50% historical
Terminal Growth	1.26%	Capped at GDP

MARGIN ASSUMPTIONS

PARAMETER	VALUE	RATIONALE
Current Operating Margin	45.6%	FMP data
Terminal Margin	42.7%	40% current + 60% industry
Tax Rate	17.6%	Effective rate

SCENARIO ANALYSIS

SCENARIO	KEY ASSUMPTIONS	FAIR VALUE
Bear	Rev CAGR –3pp, Term g –0.5pp, WACC +1.5pp, Margin –5pp	\$134.79
Base	Standard assumptions	\$187.31
Bull	Rev CAGR +4pp, Term g +0.5pp, WACC –1.5pp, Margin +3pp	\$286.41
Composite	Equal-weighted	\$202.84

Critical observation: the market-implied revenue growth rate is **28.6%** — nearly double our 14.6% base case. This 14pp gap is the primary source of the valuation disconnect.

MONTE CARLO SIMULATION · 10,000 ITERATIONS

PERCENTILE	VALUE	VS. CURRENT
P10 (bear)	\$72.35	-82.2%
P30	\$90.23	-77.8%
P50 (median)	\$107.62	-73.6%
P70	\$125.84	-69.1%
P90 (bull)	\$151.80	-62.7%
Mean	\$110.34	-72.9%

The Monte Carlo reinforces the overvaluation: even at the 90th percentile, fair value (\$152) remains well below the current price (\$407).

OPTIONALITY ANALYSIS

The pipeline auto-detected significant optionality (Market Cap / DCF ratio: 2.2x) and computed 3 growth options using Black-Scholes:

DCF Base (no options)	\$187.31
Option Overlay	\$32.40
Option-Adjusted Composite	\$219.71
Gap Explained	14.7%

OPTIONS DETECTED

OPTION	CALL VALUE	DELTA	PROB.
R&D / New Products	\$37.4B	0.800	60%
Market Expansion	\$120.5B	1.000	50%
Platform / Ecosystem	\$75.9B	0.950	40%

Interpretation: the overlay captures MSFT's embedded growth (Azure AI, Teams, security). Even with the uplift, the composite fair value (\$220) implies massive downside to current levels.

FUNDAMENTAL HEALTH CHECK

METRIC	VALUE	ASSESSMENT
ROIC	28.0%	Strong — creating value above WACC
Earnings Quality (CFO/NII)	1.34x	High — cash earnings exceed accruals
Implied Growth Rate	28.6%	Elevated — requires sustained expansion
Stability	Stable	Predictable SaaS revenue model

INVESTMENT THESIS

VALUATION GAP

MSFT trades at \$407 vs. our base case fair value of \$187 — a 54% downside. Even the bull scenario (\$286) implies 30% downside. The Monte Carlo mean (\$110) reinforces this as the expected outcome.

FUNDAMENTAL QUALITY

MSFT is an exceptional business — dominant cloud platform (Azure), productivity suite (Office 365), gaming (Xbox), AI leadership. The disconnect is price, not quality.

KEY RISKS

1. **Regulatory** — antitrust scrutiny on cloud and productivity
2. **Azure growth** — competition from AWS, GCP could pressure margins
3. **AI capex** — heavy infrastructure investment, uncertain returns
4. **Valuation compression** — SaaS multiples under pressure

RECOMMENDATION

VERDICT: SELL

The current price embeds assumptions of sustained 29% CAGR — extraordinary for a \$300B+ revenue business. Wait for a pullback toward \$180–\$200 before accumulating.

Microsoft is a quality compound. The valuation is not.

REPORT GENERATED 9 MARCH 2026 · MODEL FCFF (DAMODARAN METHODOLOGY) · DATA SOURCES FMP · YFINANCE · DAMODARAN DATASETS

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